FINANCIAL HEALTH ANALYSIS OF SELECTED FMCG COMPANIES

Comparative Analysis Using Key Financial Ratios and Visualisation

Companies Selected:
ITC Limited
Hindustan Unilever Limited
Britannia Industries Limited
Marico Limited
Nestlé India Limited

Tools Used: Microsoft Excel, Python (Pandas and Matplotlib)

INTRODUCTION

Financial analysis is a **key tool for understanding a company's financial health, operational efficiency, profitability, and overall performance**. Financial statements contain a large amount of information, but analysing individual figures in isolation may not clearly show how a company is performing. Financial ratios help convert these figures into meaningful measures that can be compared across companies and over time.

The Fast-Moving Consumer Goods (FMCG) sector provides a useful setting for comparative financial analysis because companies in the sector often have established brands, significant revenues, and relatively similar business characteristics, while differing in profitability, efficiency, liquidity, and financial structure.

This project analyses the financial performance of five major Indian FMCG companies: ITC Limited, Hindustan Unilever Limited, Britannia Industries Limited, Marico Limited, and Nestlé India Limited. The analysis uses selected financial ratios covering growth, profitability, liquidity, leverage, and asset efficiency.

The **objective** is not only to identify which company performs better on individual financial measures, but also to **understand the different strengths and financial characteristics of the companies through a structured comparison.**

OBJECTIVES

The main objectives of this project are:

1. To analyse and compare the financial performance of selected FMCG companies using key financial ratios.
2. To evaluate the selected companies' profitability using measures such as Net Profit Margin, Return on Assets (ROA), and Return on Equity (ROE).
3. To examine the liquidity position of the companies using the Current Ratio.
4. To assess the financial leverage and capital structure of the companies using the Debt-to-Equity Ratio.
5. To analyse the efficiency with which companies utilise their assets through the Asset Turnover Ratio.
6. To compare the revenue growth of the selected companies and identify differences in their growth performance.
7. To use spreadsheet-based analysis and data handling techniques to present financial information in a clear and structured manner.

DATA AND METHODOLOGY

Data Used

The project analyses the financial performance of five selected FMCG companies over **six years**:

- ITC Limited
- Hindustan Unilever Limited (HUL)
- Britannia Industries Limited
- Marico Limited
- Nestlé India Limited

Financial data for the six years were collected and organised for each company. The dataset includes key financial indicators required to evaluate growth, profitability, liquidity, leverage, and operational efficiency.

Methodology

The analysis follows a comparative financial-ratio approach. Financial data for each company were organised in Microsoft Excel, after which selected financial ratios were

Category	Ratio	Purpose
Growth	Revenue Growth	Measures the change in revenue over time.
Profitability	Net Profit Margin	Measures the proportion of revenue converted into net profit.
Profitability	Return on Assets (ROA)	Measures how efficiently assets generate profit.
Profitability	Return on Equity (ROE)	Measures the return generated on shareholders' equity.

Liquidity	Current Ratio	Indicates the company's ability to meet short-term obligations.
Leverage	Debt-to-Equity Ratio	Examines the relationship between debt and shareholders' equity.
Efficiency	Asset Turnover Ratio	Measures how efficiently a company uses its assets to generate revenue.

FINANCIAL RATIOS AND FORMULAS

To evaluate the financial performance of the selected FMCG companies, seven key financial ratios were analysed. These ratios represent different dimensions of business performance, including growth, profitability, liquidity, financial leverage, and operational efficiency.

1.) Revenue Growth

Revenue Growth measures the percentage change in a company's revenue between two consecutive periods. It helps assess whether the company's sales are increasing or decreasing over time.

Formula:

Revenue Growth (%) = [(Current Year Revenue − Previous Year Revenue) / Previous Year Revenue] × 100

A higher revenue growth rate generally indicates stronger growth in sales, although revenue growth should be considered alongside profitability and other financial indicators.

2.) Net Profit Margin

Net Profit Margin measures the proportion of revenue that remains as net profit after accounting for expenses, taxes, and other costs.

Formula:

Net Profit Margin (%) = (Net Profit / Revenue) × 100

A higher net profit margin indicates that a company is able to retain a larger portion of its revenue as profit.

3.) Return on Assets (ROA)

Return on Assets measures how effectively a company uses its assets to generate profit. It provides an indication of the efficiency with which the company's asset base is being utilised.

Formula:

ROA (%) = (Net Profit / Total Assets) × 100

A higher ROA generally indicates more effective utilisation of assets in generating profits.

4.) Return on Equity (ROE)

Return on Equity measures the return generated by a company relative to the shareholders' equity invested in the business.

Formula:

ROE (%) = (Net Profit / Shareholders' Equity) × 100

A higher ROE generally indicates that the company is generating greater returns from the equity provided by its shareholders.

5.) Current Ratio

The Current Ratio is a liquidity ratio that measures a company's ability to meet its short-term obligations using its current assets.

Formula:

Current Ratio = Current Assets / Current Liabilities

A higher current ratio generally indicates a stronger short-term liquidity position, although an excessively high ratio may also indicate that assets are not being utilised efficiently.

6.) Debt-to-Equity Ratio

The Debt-to-Equity Ratio measures the relationship between a company's debt and shareholders' equity. It provides an indication of the extent to which a company relies on debt financing relative to equity.

Formula:

Debt-to-Equity Ratio = Total Debt / Shareholders' Equity

A higher ratio indicates greater reliance on debt financing and potentially higher financial leverage.

7.) Asset Turnover Ratio

Asset Turnover measures how efficiently a company uses its assets to generate revenue.

Formula:

Asset Turnover Ratio = Revenue / Average total Assets

(where average total assets= Beginning Assets+Ending Assets/2)

A higher asset turnover ratio generally indicates that the company is generating more revenue from each unit of assets employed.

KEY INSIGHTS

The financial ratios calculated for the six years were aggregated by company to obtain average values for each of the seven selected indicators. These averages were used to compare the financial performance of ITC, HUL, Britannia, Marico, and Nestlé across different dimensions.

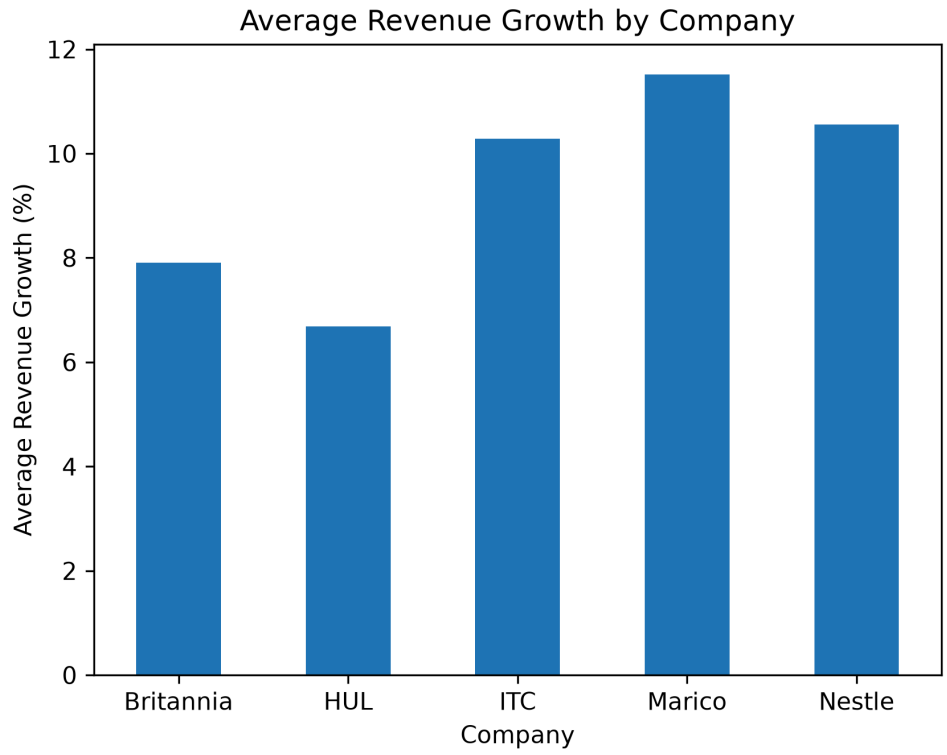
1.) Revenue Growth Analysis

Revenue growth indicates how a company's sales changed over the analysis period. Comparing the five companies' average revenue growth helps identify differences in performance.

The average revenue growth observed for the selected companies was:

Company	Average Revenue Growth (%)
Marico	11.51
Nestlé	10.56
ITC	10.29
Britannia	7.91
HUL	6.68

The results indicate that Marico demonstrated the strongest average revenue growth within the selected group during the period analysed. However, revenue growth alone does not determine overall financial performance, as a company may grow revenue while differing in profitability, liquidity, or efficiency.



Key observation: Marico had the highest average revenue growth, while HUL recorded the lowest among the five companies.

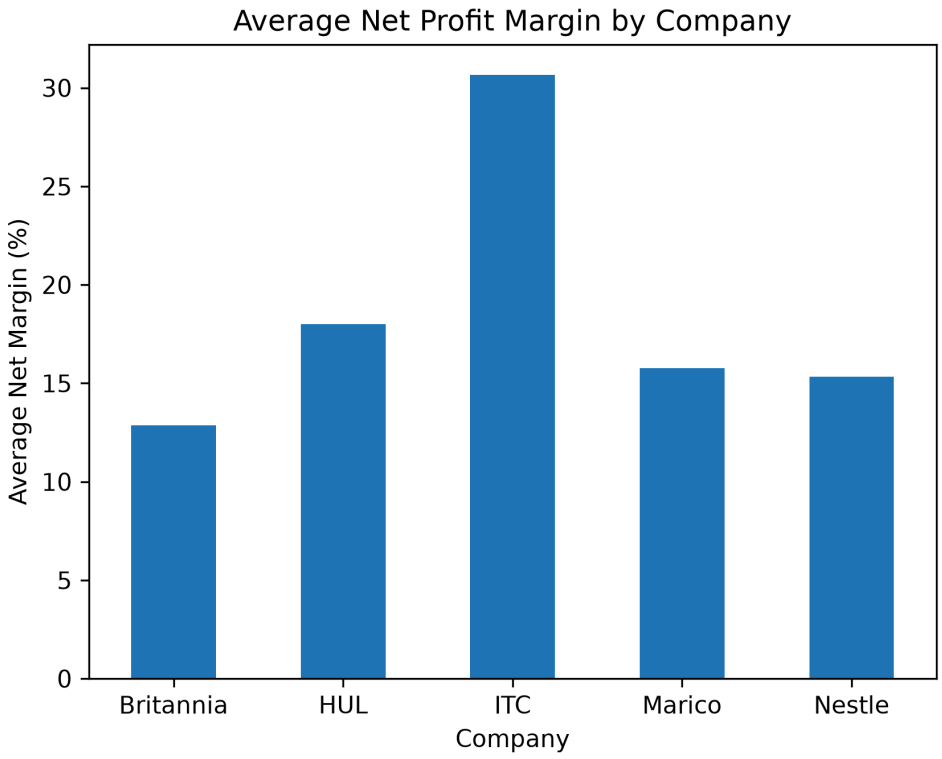
2.) Profitability Analysis

Profitability ratios help evaluate how effectively a company converts its operations and resources into profits. In this project, we assessed profitability using three measures: Net Profit Margin, Return on Assets (ROA), and Return on Equity (ROE).

i) Net Profit Margin

Net Profit Margin indicates the proportion of revenue that is retained as net profit after accounting for expenses.

Among the five companies, **ITC recorded the highest average net profit margin at approximately 30.66%**. HUL followed at approximately 18.01%, followed by Marico at 15.77%, Nestlé at 15.34%, and Britannia at 12.85%.



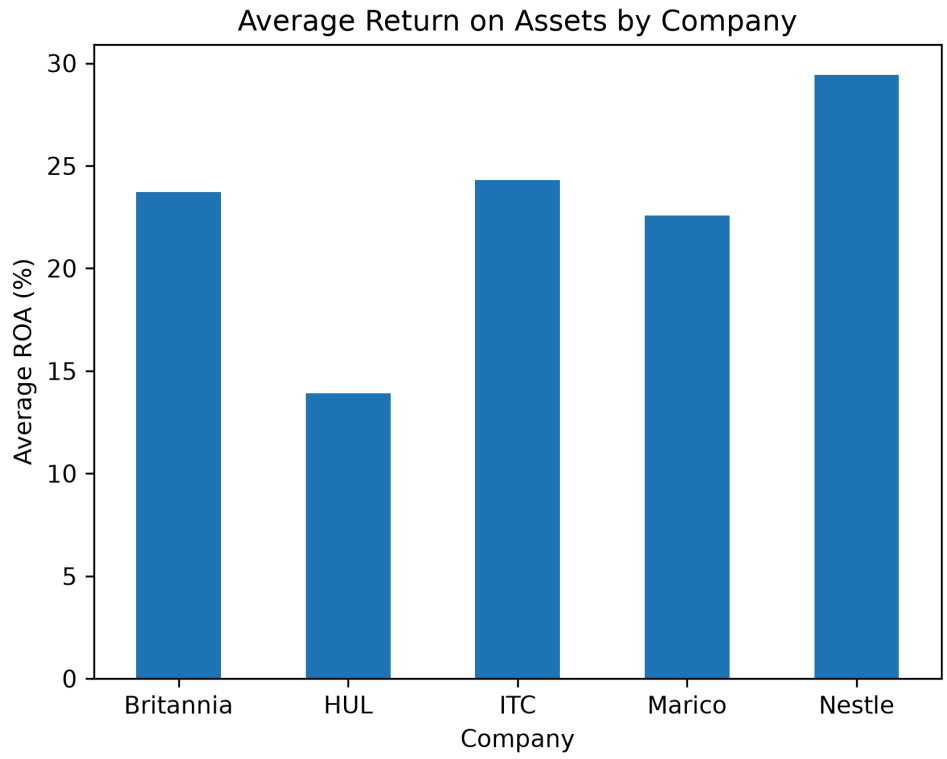
Key observation: ITC recorded the highest average net profit margin among the selected companies.

ii) Return on Assets (ROA)

Return on Assets measures how efficiently a company uses its assets to generate profit.

Nestlé recorded the highest average ROA at approximately 29.43%, followed by ITC at approximately 24.30%, Britannia at 23.71%, Marico at 22.57%, and HUL at 13.91%.

The result suggests that Nestlé generated the highest average return relative to its asset base among the companies analysed.



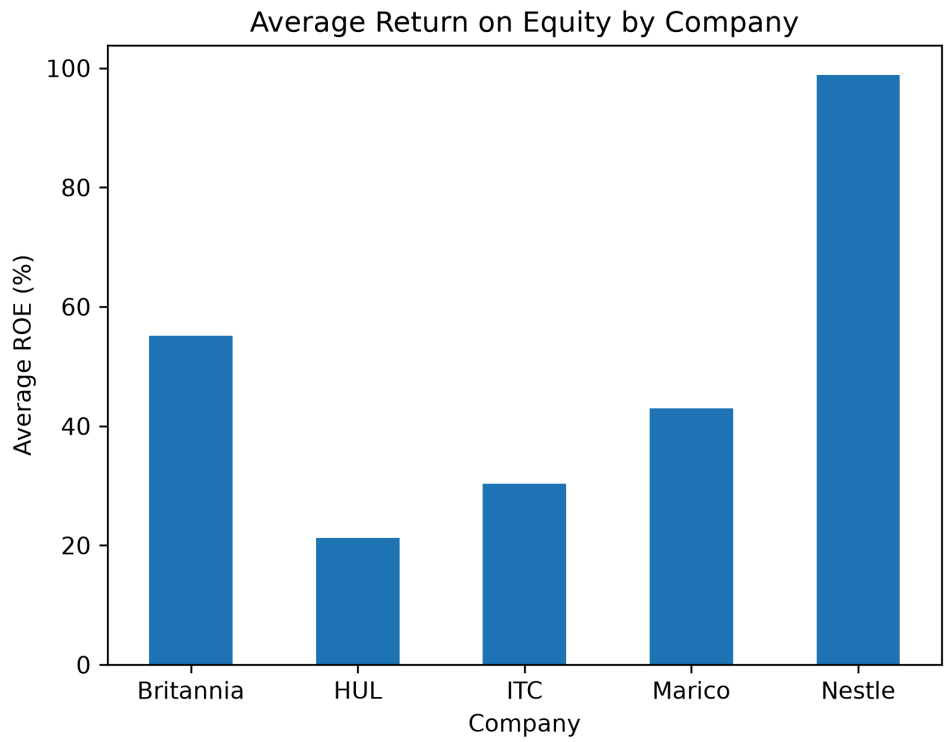
Key observation: Nestlé demonstrated the strongest average asset-based profitability.

iii) Return on Equity (ROE)

Return on Equity measures the return generated relative to shareholders' equity.

Nestlé recorded the highest average ROE at approximately 98.84%. It was followed by Britannia at approximately 55.13%, Marico at 42.9%, ITC at 30.34%, and HUL at 21.27%.

The relatively high ROE recorded by Nestlé indicates a strong return generated on the equity base during the period analysed. However, ROE should be interpreted alongside the company's capital structure and leverage rather than being considered in isolation.

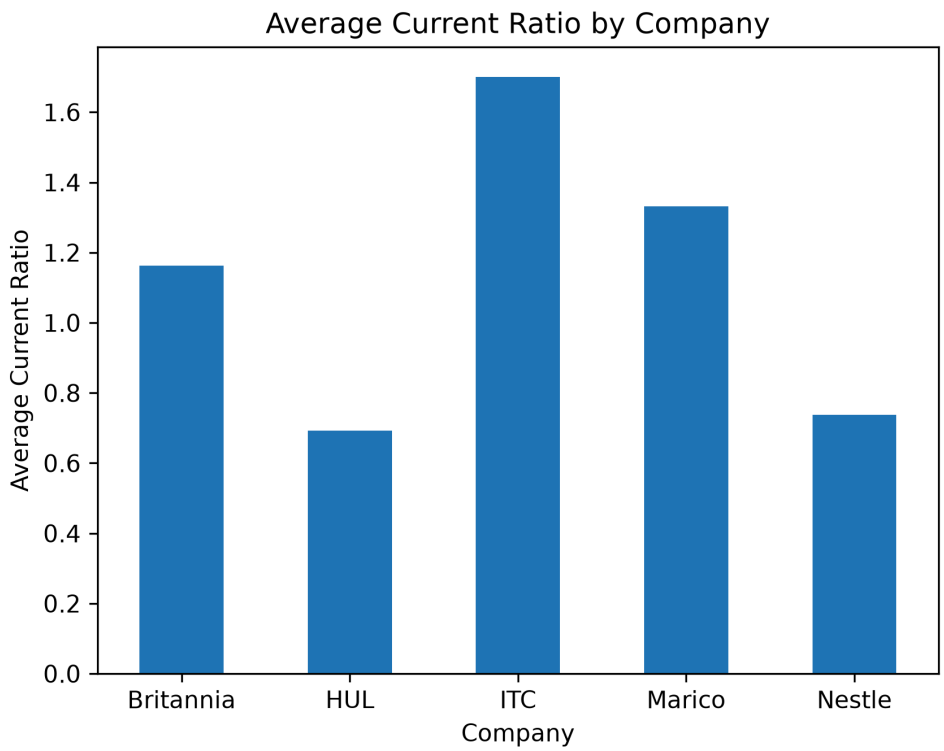


Key observation: Nestlé recorded the highest average ROE among the five companies.

3.) Liquidity Analysis

Liquidity refers to a company's ability to meet its short-term financial obligations. In this analysis, the Current Ratio is used to compare the liquidity positions of ITC, Hindustan Unilever (HUL), Britannia Industries, Marico, and Nestlé India over the six-year study period.

The comparison of average Current Ratios indicates that **ITC recorded the strongest liquidity position among the five companies,** while the other companies' results reflect differences in their management of short-term assets and liabilities.

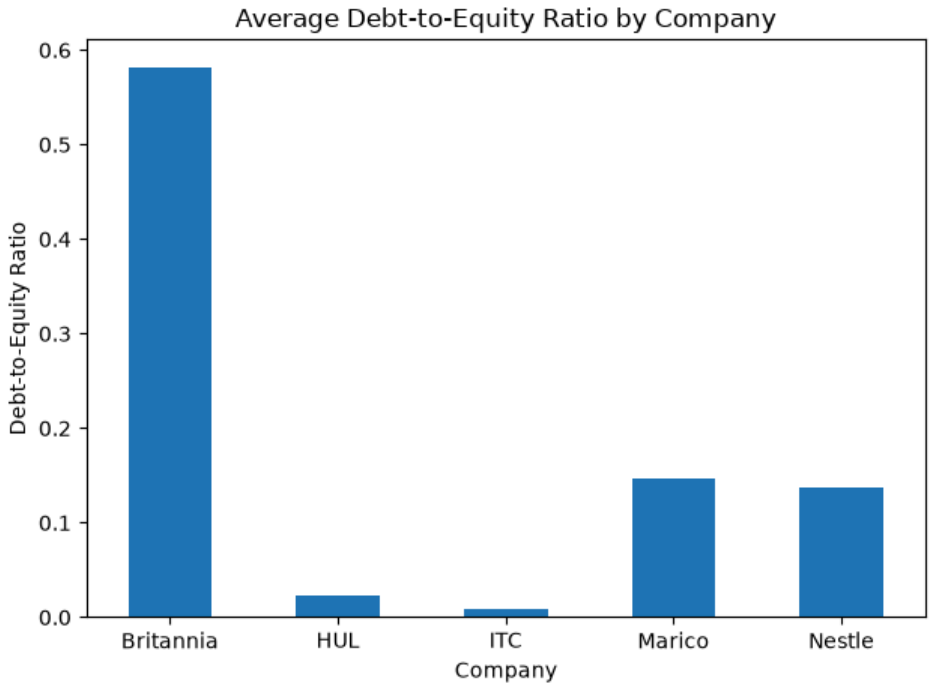


Key Observation: ITC demonstrated a comparatively stronger ability to cover its short-term obligations during the period under study. However, liquidity should not be evaluated in isolation, as a company's operating cycle, cash flows, and overall efficiency also influence its financial position.

4.) Financial Leverage Analysis

Comparing the average Debt-to-Equity Ratios helps identify differences in the companies' financing strategies and capital structures. However, a lower ratio is not automatically evidence of superior financial performance, as the appropriate level of debt depends on a company's operations, cash flows, and financing requirements.

Britannia recorded the highest average Debt-to-Equity Ratio (0.5821) among the five companies, followed by Marico (0.1464), Nestlé India (0.1379), HUL (0.0230), and ITC (0.0090). This indicates that Britannia relied more on debt relative to equity compared with the other selected companies, while ITC had the lowest ratio.

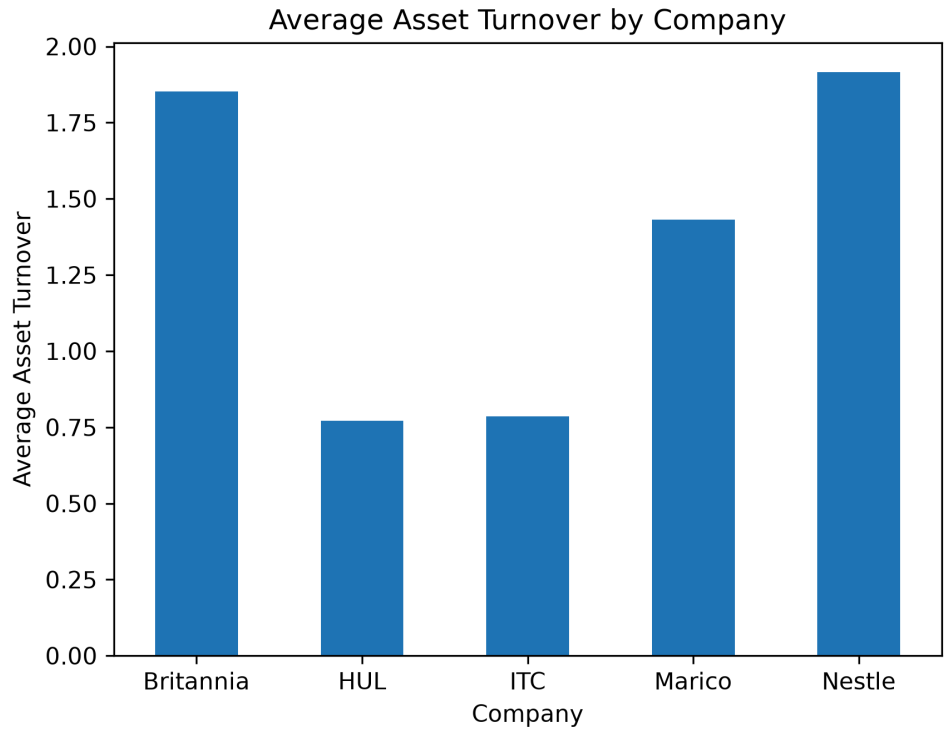


Key Observation: Britannia recorded the highest average Debt-to-Equity Ratio among the five companies, indicating a greater reliance on debt financing relative to shareholders' equity compared with its peers.

5.) Asset Efficiency Analysis

Asset efficiency refers to how effectively a company uses its assets to generate revenue. In this analysis, the Asset Turnover Ratio is used to compare the asset utilisation efficiency of ITC, Hindustan Unilever (HUL), Britannia Industries, Marico, and Nestlé India over the six-year study period.

The Asset Turnover Ratio is calculated by dividing revenue by total assets. It indicates the amount of revenue generated for each unit of assets held by a company. A higher ratio generally suggests that a company generates more revenue relative to its asset base.



Key Observation: Nestlé India recorded the highest average Asset Turnover Ratio among the five companies, indicating that it generated comparatively higher revenue relative to its asset base during the study period. This suggests stronger asset utilisation efficiency in terms of revenue generation. However, the ratio should be considered alongside profitability measures to understand whether efficient asset utilisation also translates into stronger financial returns.

OVERALL FINDINGS AND CONCLUSION

The comparative analysis of five FMCG companies over six years highlights differences in their financial performance across key indicators. **Marico recorded the highest average revenue growth,** while **ITC had the highest average net profit margin and current ratio. Nestlé India recorded the highest average Return on Assets (ROA), Return on Equity (ROE), and Asset Turnover Ratio. Britannia had the highest average Debt-to-Equity Ratio,** reflecting a different capital structure compared with the other companies.

The findings indicate that each company **demonstrates different financial strengths**. While some perform better in growth and profitability, others show stronger asset utilisation or liquidity. These differences highlight the importance of evaluating multiple financial ratios rather than relying on a single measure to assess financial performance.

Through this project, **financial data was organised and analysed using Excel and Python** to calculate ratios, compare company performance, and create visualisations. Overall, the study demonstrates how financial analysis can help interpret business performance, identify comparative strengths, and support informed decision-making.

LIMITATIONS AND REFERENCES

I) Limitations

This study has certain limitations. The analysis is based on publicly available financial data for five selected FMCG companies over six years, and the findings may not represent the entire FMCG industry. The study relies primarily on financial ratios and does not account for qualitative factors such as management decisions, market competition, or changes in consumer behaviour. Furthermore, differences in business models and accounting practices may affect comparisons between companies. Therefore, the findings should be interpreted within the scope of the selected data and methodology.

II) References

1. Screener. in. *Financial Data of Selected FMCG Companies.* https://www.screener.in/